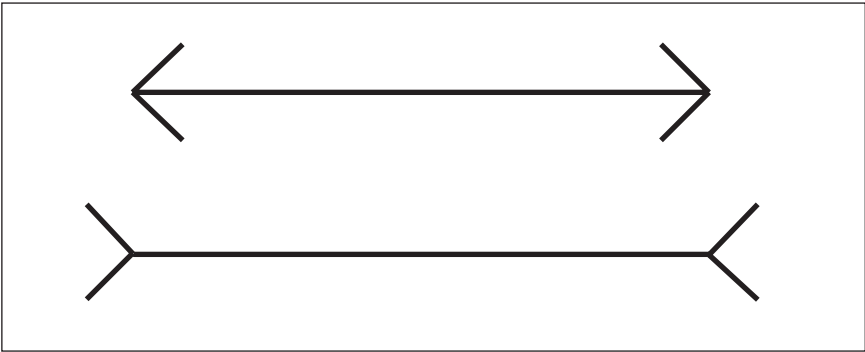
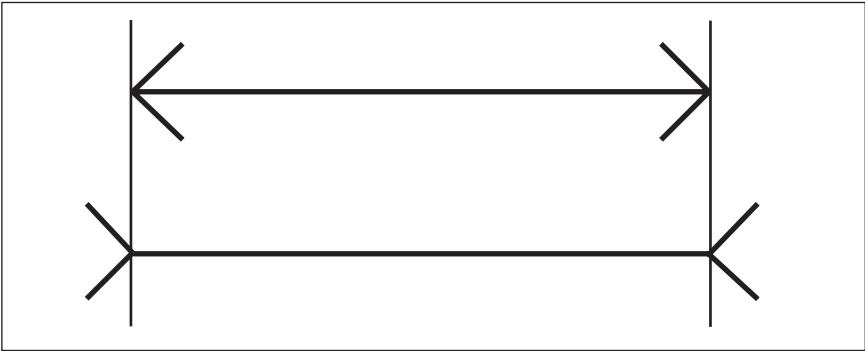




**FIGURE 12.1** Which Line Is Longer?



**FIGURE 12.2** Which Line Is Longer?

This doesn't necessarily imply, however, that any kind of bulk discount is being offered. Have you ever found an item priced at "3 for \$7" also available at a unit price of \$2.33? This isn't unusual. Shopping represents a rudimentary rational choice problem ("How many oranges should I buy?"), and good salespeople try to frame a solution for a buyer that benefits the store. "Don't buy oranges in units of one," suggests the price policy. "Buy them in multiples of three." This takes advantage of people's susceptibility to framing. Applications to investing will follow later in the chapter.

**Technical Description**

A decision frame is the decision maker's subjective conception of the acts, outcomes, and contingencies associated with a particular choice. The frame that a decision maker adopts is controlled partly by the formulation of the